

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

VISUAL COMFORT & Co., *Complainant*

v.

COSCO SHIPPING LINES CO., LTD, *Respondent*.

DOCKET NO. 24-01

Served: April 28, 2025

ORDER OF: Richard AMBROW, *Administrative Law Judge*.

INITIAL DECISION¹

I. INTRODUCTION

A. Overview

Complainant Visual Comfort & Co. (“VCC” or “Complainant”) filed a complaint alleging that Respondent COSCO Shipping Lines Co., Ltd (“Respondent”) violated the Shipping Act of 1984, as amended, by charging Complainant unjust and unreasonable detention and demurrage in violation of 46 U.S.C. § 41102(c) and refusing to deal or negotiate detention and demurrage charges in violation of 46 U.S.C. § 41104(a)(10). In short, Complainant argues that Respondent imposed a combined total of 327 unjust and unreasonable demurrage, detention, per diem and storage charges from 2021 through 2022. The aggregate total of allegedly unjust and unreasonable demurrage, detention, per diem and storage fees is \$1,161,807.

Complainant filed an initial Verified Complaint that was served by the Commission on January 4, 2024, that named COSCO Shipping Lines (North America) Inc. (“COSCON”) as a Respondent. Later, on February 9, 2024, Complainant filed an Amended Complaint that substituted Respondent for COSCON. Respondent answered and generally denied Complainant’s allegations.

As discussed below, Complainant presents insufficient evidence to meet its burden of proving that Respondent violated either 46 U.S.C. § 41102(c) or 46 U.S.C. § 41104(a)(10), and, accordingly, Complainant’s claims are denied. Also below, I note that the outstanding procedural

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. (46 C.F.R. § 502.227).

motions, except the motions for confidential treatment, are all denied. Finally, I note below my rulings on the motions for confidential treatment are granted in part and denied in part.

B. Procedural History

This case has a litigious history. I divided the discussion of the procedural history in this matter into three sections. In the first section, I discuss the initiation of the case until October 8, 2024. The second section begins with Complainant's Second Motion to Compel ("Second CMTC") and includes the parties' briefing on the merits. The third section begins with a discussion of the January 24, 2025, Order Granting Complainant's Second Motion to Compel in Part (the "January 24 Order") and ends with Respondent's Supplemental Brief.

i. Case Initiation Until October 8, 2024

Complainant initiated this matter on January 4, 2024, naming COSCO Shipping Lines (North America) Inc. ("COSCON") as a respondent. (*See* Complaint). Also on January 4, 2024, the Secretary issued a Notice of Filing of Complaint and Assignment ("Notice of Filing"), which, among other things, indicated that the Initial Decision of the presiding judge was to be issued by January 6, 2025. (Notice of Filing, at 2).

The matter was assigned to Administrative Law Judge Linda S. Harris Crovella, who entered the Initial Order on January 17, 2024.

On January 24, 2024, COSCON filed a Verified Motion to Dismiss for Lack of Jurisdiction ("First MTD"). In the First MTD, COSCON argued that it is not a vessel-operating ocean common carrier subject to the Commission's jurisdiction, but COSCON and COSCO Shipping Lines Co., Ltd. would not object if Complainant filed a new or amended complaint identifying COSCO as the proper respondent. (*See generally* First MTD).

On February 5, 2024, Complainant filed Complainant's Unopposed Motion for Leave to File Amended Complaint ("Motion for Leave to Amend").

On February 6, 2024, Judge Crovella entered an Order Granting Complainant's Motion to Amend Complaint and Substitute Respondent, and Granting Respondent's Motion to Dismiss ("February 6 Order"). The February 6 Order granted the First MTD, dismissed COSCON as a respondent, granted the Motion for Leave to Amend, ordered the parties to submit a joint status report within 25 days of service of the Answer, and requested the Secretary to docket the Amended Complaint as of February 6, 2024.

Per Judge Crovella's request, the Amended Complaint was docketed February 6, 2024. In general, Complainant alleges that Respondent charged Complainant with over \$1.2 million in unjust and unreasonable detention, demurrage, per diem and storage charges in violation of § 41102(c), and unreasonably refused to deal or negotiate in violation of § 41104(a)(10). (Amended Complaint, at 3, 8). Respondent filed COSCO Shipping Lines Co. Ltd. Original Verified Answer ("Verified Answer") on February 20, 2024. (*See generally* Verified Answer).

On March 6, 2024, the parties submitted a Joint Status Report and Proposed Schedule ("JSR1") with a proposed discovery cut-off of July 26, 2024. (*See generally* JRS1). On March 8,

2024, Judge Crovella issued an initial Scheduling Order approving the discovery deadline of July 26, 2024, and requiring a joint status report by April 3, 2024. (Scheduling Order, at 1-2).

On March 20, 2024, Respondent filed its Motion for Partial Judgment on the Pleadings (“MJP”). In the MJP, Respondent argued that Complainant, who was not a direct customer of Respondent, did not have standing to seek reparations because Complainant was not a “direct purchaser.” (*See generally* MJP).

On April 3, 2024, the parties filed a Second Joint Status Report (“JSR2”) indicating, among other things, that the MJP was outstanding. (*See* JSR2).

On April 4, 2024, Complainant filed Complainant’s Response in Opposition to Respondent’s Motion for Partial Judgment on the Pleadings (“MJP Response”). In its MJP Response, Complainant argued that it is a “direct purchaser[,]” and thus has standing, because the charges at issue were passed through the non-vessel operating common carrier (“NVOCC”) to it, and, in any event, Complainant would be able to receive an assignment from the NVOCC, RIM Logistics. (*See generally* MJP Response).

On April 11, 2024, Respondent filed its Reply of COSCO to Complainant’s Response to COSCO’s Motion for Partial Judgment on the Pleadings (“MJP Reply”) reiterating its argument that Complainant lacks standing and asserting that only RIM Logistics would have standing because Respondent would otherwise risk double liability. (*See generally* MJP Reply).

On April 25, 2024, Complainant filed Complainant’s Motion for Leave to File Sur-Reply Related to Respondent’s Motion for Judgment on the Pleadings (“MJP Surreply Motion”). (*See* MJP Surreply Motion).

On April 30, 2024, citing the standards for a motion for judgment on the pleadings, Judge Crovella issued an Order Denying Respondent’s Motion for Partial Judgment on the Pleadings (“MJP Order”). The MJP Order denied the MJP because the Amended Complaint contained sufficient allegations that Complainant was a direct purchaser, and because the pleadings otherwise lacked sufficient information to allow the MJP to be granted. (MJP Order, at 2-3). The MJP Order also denied the MJP Surreply Motion because Complainant did not demonstrate extraordinary circumstances. (MJP Order, at 3). Finally, the MJP Order required a joint status report by May 10, 2024. (MJP Order, at 4).

On May 10, 2024, the parties submitted their Third Joint Status Report and Request for Extension (“JSR3”), requesting a two-month extension, including a proposed discovery cut-off of September 27, 2024. (JSR3, at 2).

On May 14, 2024, Judge Crovella issued an Order Setting Status Conference and Interim Scheduling Order (“May 14 Order”) that extended discovery deadlines by two weeks and ordered the parties to appear for a status conference on May 16, 2024. (*See generally* May 14 Order).

On May 16, 2024, the parties filed a Consent Motion for Entry of a Protective Order.

On May 30, 2024, Respondent filed two motions to compel discovery. First, Respondent filed Respondent's First Motion to Compel Production of Documents ("RMTC Docs"). Second, Respondent filed Respondent's First Motion to Compel Adequate Responses to Requests for Admission and Interrogatories ("RMTC A&I"). Respondent also filed a Motion for Enlargement of Page Limits ("MPE").

On May 31, 2024, Complainant filed Complainant's First Motion to Compel Production of Documents ("First CMTC"). Among other things, Complainant requests production of documents responsive to Request for Documents No. 6 ("RFP6"), and Supplemental Request for Documents No. 5 ("SRFP5"). RFP6 states:

Produce all correspondence to or from Respondent and the parties identified in Claimant's and Respondent's Initial Disclosures during the relevant time period related to: (1) the number of "free days" offered to shippers and their freight forwarders in light of port congestion; (2) lack of return locations for empty containers; (3) delays clearing empty containers; (4) redirecting traffic to less congested ports; (5) whether terminals should remain designated as "open for returns," and; (6) the decision to continue to accept goods for receipt handling storage or deliver while [t]here was insufficient space in port(s).

SRFP5 states: "Produce all correspondence between Respondent and Complainant or RIM Logistics, Ltd. relating to demurrage, detention, per diem, and yard storage, including but not limited to free time, port congestion, equipment shortages, lack of appointments for container pick-ups and returns, return capacity at terminals, and restricted access to terminals." (First CMTC, at 3, 6).

On June 6, 2024, Complainant responded to both of Respondent's motions to compel. (*See generally* Complainant's Response in Opposition to Respondent's First Motion to Compel Production of Documents and Complainant's Response in Opposition to Respondent's First Motion to Compel Adequate Responses to Requests for Admission and Interrogatories). On June 7, 2024, Respondent filed Response of COSCO Shipping Lines Co. Ltd. to Complainant Visual Comfort & Co's Motion to Compel Discovery ("First CMTC Response"), generally arguing that the requests for production at issue in the First MTC sought irrelevant information, and/or were unduly burdensome. (First CMTC Response, at 4-9).

On July 17, 2024, Judge Crovella issued a Partial Order on Motions to Compel, Motion for Entry of Protective Order and Motion for Enlargement of Page Limits ("Partial Order"). In the Partial Order, Judge Crovella granted the Motion for Protective Order and MPE. (Partial Order, at 1-2, 9-10). Judge Crovella granted in part and denied in part the RMTC Docs, as well as the RMTC A&I. (Partial Order, at 2-7). As for First CMTC, Judge Crovella noted, in part, that RFP6 and SRFP5 overlapped, and were relevant. (Partial Order, 8-9). Finally, Judge Crovella ordered a hearing to be held, and ordered a joint status report by August 2, 2024. (Partial Order, at 10).

On July 29, 2024, Judge Crovella held a video hearing regarding the Motions to Compel. (*See Transcript*). Afterwards, on July 31, 2024, Judge Crovella issued a Memorandum Order on Motions to Compel (the "July 31 Order"). The July 31 Order resolved the RMTC A&I.

(July 31 Order, at 2). Regarding First CMTC, the July 31 Order required Respondent to produce documents responsive to RFP6 and SRFP5 by August 14, 2024. (July 31 Order, at 2-3).

On August 2, 2024, the parties filed their Joint Status Report and Proposal Regarding Schedule (“JSR4”). In JSR4, the parties indicated that a discovery extension would be necessary. (JSR4, at 1-2).

On August 9, 2024, the parties filed a fifth Joint Status Report and Proposed Amended Schedule (“JSR5”). In JSR5, the parties indicated that they were negotiating proposed electronic discovery search terms related to Complainant’s document request, RFP6, as well as a proposed schedule. (JSR5, at 1). The proposed schedule had discovery ending in November 2024, and briefing being completed in mid-February 2025. (JSR5, at 2; *see also* Notice of Filing, at 2).

Judge Crovella issued an Order on Joint Status Report and Scheduling on August 20, 2024 (“August 20 Order”). Judge Crovella ordered a joint status report as of August 30, 2024, as well as another proposed amended schedule. (August 20 Order, at 3).

The parties filed their sixth Joint Status Report and Proposed Schedule on August 30, 2024 (“JSR6”), indicating that Respondent ran Complainant’s the search terms. (JSR6, at 1). On September 5, 2024, Judge Crovella issued an Amended Scheduling Order, with discovery cut-off by October 18, 2024, and completing of briefing by December 20, 2024. (*See generally* Amended Scheduling Order).

On October 2, 2024, Respondent filed Respondent’s Second Motion to Dismiss for Failure to Prosecute or to Dismiss Shipments not in the U.S. Foreign Trade and to Preclude Complainant’s Untimely “Corrected” Expert Report (“MTD2”). In MTD2, Respondent argued that Complainant’s identification of the shipments at issue was substantially revised late in discovery, and that Complainant’s expert report was likewise substantially revised – after his deposition was taken – to reflect the revised shipment information. (MTD2, at 5-16). Respondent also argues that the matter should be dismissed vis-à-vis shipments that were not to-or-from a U.S. port, such as shipments to Canadian ports. (MTD2, at 16-22).

Judge Crovella denied MTD2 on October 8, 2024, noting that the issues raised in MTD2 could be raised in the parties’ briefing. (*See generally* Order Denying Respondent’s Second Motion to Dismiss).

ii. Second CMTC Until January 24, 2025

On October 16, 2024, Complainant filed Complainant’s Second Motion to Compel (“Second CMTC”), in which it argues that Respondent’s 30(b)(6) witness was inadequately prepared, and Respondent failed to search adequately for documents responsive to RFP6 and SRFP5, and that either the discovery period should be extended, or adverse inferences should be drawn from Respondent’s failures. (*See generally* Second CMTC). Complainant also filed an accompanying Motion for Enlargement of Page Limits because the Second CMTC was 14 pages.

Respondent responded to the Second CMTC on October 23, 2024, arguing that the Complainant’s motion is meritless, and, in any event, it should not be considered as it is too late. (*See generally* Respondent’s Response to Complainant’s Second Motion to Compel Discovery

and Motion to Extend Page Limits (“Second CMTC Response”). Both the Second CMTC and the response will be discussed further below.

Complainant filed its Opening Brief in Support of its Claims Against COSCO Shipping Lines Co. LTD (“Opening Brief”) and its Proposed Findings of Fact (“CPFF”) on November 8, 2024, and an Appendix on November 12, 2024. The substance of the Opening Brief will be discussed below in greater detail. In general, however, Complainant argues that the demurrage, detention, per diem and storage charges imposed by Respondent were unjust and unreasonable in violation of § 41102(c), and Respondent refused to deal or negotiate in violation of § 41104(a)(10). Complainant also argues that due to Respondent’s discovery deficiencies, adverse inferences should be drawn against Respondent. (Opening Brief, at 6-12).

On November 15, 2024, Judge Crovella ordered the Complainant to correct the filing of its Opening Brief, CPFF and Appendix in order to seek protection of confidential material properly. (*See* Order to Correct Filings and Order on Outstanding Motion (“November 15 Order”), at 1-4). Judge Crovella also granted the Motion for Enlargement of Page Limits accompanying the Second CMTC and ordered that the Second CMTC would be decided as part of the Initial Decision. (November 15 Order, at 3-4).

On November 18, 2024, Respondent filed the 27-page Respondent’s Motion to Strike “Expert” Report of John D. McCown (“Motion to Strike”), arguing that Complainant’s expert report was irrelevant and unreliable, as well as that the expert lacked the relevant experience and was unqualified. On November 20, 2024, Judge Crovella rejected the Motion to Strike both because it was over the page limit, and because the matter should have been raised in Respondent’s brief. (*See generally* Order Rejecting Motion to Strike).

Complainant filed its Motion for Confidential Treatment on November 25, 2024.

On December 6, 2024, Respondent filed its Opposition Brief, its Responses to the CPFF (“RCPFF”), its own Proposed Findings of Fact (“RPFF”) and Appendix. It also filed a Motion for Confidential Treatment on December 6, which it corrected on December 8.

On December 9, 2024, the matter was reassigned to the undersigned. (*See* Notice of Reassignment). On December 19, 2024, I required a Joint Status Report to be filed December 30, 2024, regarding what remained to be decided from the Second CMTC. (*See* Order Requiring a Joint Status Report (“December 19 Order”)).

On December 20, 2024, Complainant filed its Reply Brief in Further Support of Its Claims Against COSCO Shipping Lines Co. Ltd. (“Reply Brief”), along with an accompanying Motion for Confidential Treatment.

On December 30, 2024, Respondent filed a Motion to Strike and for Leave to File a Surreply (“Surreply Motion”), asking that portions of the Reply Brief be stricken, and be permitted to file a surreply regardless of whether portions of the Reply Brief are stricken. Respondent attached a proposed Respondent’s Surreply Brief (“Proposed Surreply”).

Also on December 30, 2024, the parties filed a consent motion to extend time to file a joint status report, which I granted. On December 31, 2024, rather than file a joint status report,

as ordered, the parties each filed a report. (*See* Complainant's Status Report and Status Report – Respondent's Position). Despite being filed in contradiction of my order, I reviewed and considered the status reports.

After receiving a one-day extension, on January 7, 2025, Complainant filed its Brief in Opposition to Respondent's Motion to Strike and for Leave to File a Surreply ("Surreply Motion Response").

iii. January 24 Order Until Respondent's Supplemental Brief

On January 24, 2025, I issued an Order Granting Complainant's Second Motion to Compel in Part (the "January 24 Order"). In short, the January 24 Order noted that the July 31 Order required Respondent to produce documents responsive to RFP6 and SRFP5, which essentially sought communications between Complainant's NVOCC and Respondent. Further, the January 24 Order found that Respondent's 30(b)(6) witness was inadequately prepared to testify regarding Respondent's document searches, though that topic was properly noticed by Complainant. (January 24 Order, at 4-5). Therefore, the January 24 Order required Respondent to produce an affidavit from a knowledgeable witness regarding searches Respondent conducted, and to produce any documents responsive to RFP6 or SRFP5 that had not yet been produced. Finally, the January 24 Order noted that remaining portions of the Second CMTC would be addressed in the future. (*Id.*, at 7).

On January 30, 2025, Respondent filed a Motion to Consider Respondent's Discovery Concerns Concurrently with Those of Complainant ("Motion to Consider"). In the Motion to Consider, Respondent argued that additional discovery should be ordered in favor of both parties. (Motion to Consider, at 2-3).

Complainant filed Complainant's Brief in Opposition to Respondent's Motion to Consider Respondent's Discovery Concerns Concurrently with Those of Complainant on February 6, 2025 ("Response to Motion to Consider"). Complainant argued, among other things, that Respondent has no outstanding motion to compel. (Response to Motion to Consider, at 4).

Respondent filed its Response to Order Granting Complainant's Second Motion to Compel in Part on February 7, 2025 ("Response to January 24 Order"), along with Respondent's Motion for Confidential Treatment. In the Response to the January 24 Order, Respondent represented that it performed electronic document searches responsive to RFP6 and SRFP5 using Complainant's search terms through December 31, 2021.

On February 10, 2025, I issued an Order Requiring Respondent to Perform Searches Through November 28, 2022 (the "February 10 Order"). The February 10 Order noted that although Respondent represented it performed electronic document searches responsive to RFP6 and SRFP5 through December 31, 2021, Complainant's claims extended until November 28, 2022. (February 10 Order, 6-7). Therefore, Respondent was ordered to extend its electronic document searches through November 28, 2022, and to produce responsive documents, as well as an affidavit attesting to the searches performed, by March 12, 2025. (*Id.*, at 7-8).

Respondent filed Respondent's Motion for Reconsideration on February 13, 2025. ("Motion for Reconsideration"). Respondent argued that the February 10 Order exceeded the

parties' agreement, and that it would cause undue delay and expense. (Motion for Reconsideration, at 5-6).

On February 18, 2025, I issued an Order Following Status Hearing (the "February 18 Order"). The February 18 Order noted that there was a status hearing with the parties on February 18, 2025. (February 18 Order, at 1). In addition, the February 18 Order denied the Motion for Reconsideration because the factual record was incomplete. (*Id.*, at 2). Finally, the February 18 Order allow Complainant to file a supplemental brief by March 26, 2025, and Respondent was to file a supplemental brief by April 9, 2025. (*Id.*, at 3).

On March 5, 2025, Respondent filed a Motion for Two Week Extension, requesting that the March 12, 2025, deadline set forth in the February 10 Order be extended for two weeks. (*See* Motion for Two Week Extension). Complainant filed its Response to Respondent's Motion for Two Week Extension, noting it did not object to the Motion for Two Week Extension. (Complainant's Response to Respondent's Motion for Two Week Extension, at 3). On March 7, 2025, I issued an Order Granting Motion for Two Week Extension that extended Respondent's deadline to comply with the February 10 Order until March 26, 2025, and extended the supplement brief deadlines until April 9, 2025, for Complainant, and April 23, 2025, for Respondent. (*See* Order Granting Motion for Two Week Extension).

On March 26, 2025, Respondent filed its Status Report in response to the February 10 Order and noting compliance with the same. (Respondent's Status Report). Respondent also filed an accompanying Motion for Confidential Treatment of Exhibits.

On April 9, 2025, Complainant filed its Supplemental Brief, along with Complainant's Motion for Confidential Treatment. On April 17, 2025, Respondent filed its Supplemental Brief.

C. The Parties' Arguments on the Merits

The Complainant filed Complainant's Opening Brief in Support of its Claims Against COSCO Shipping Lines Co. Ltd. on November 8, 2024 (the "Opening Brief"). Complainant alleges that Respondent violated 46 U.S.C. §§ 41102(c) and 41104(a)(10). Regarding 46 U.S.C. § 41102(c), and citing 46 C.F.R. § 545.5, Complainant argues that detention and demurrage charges ("D&D") are just and reasonable so long as the charges are related to the "Incentive Principle," meaning the charges must serve their intended purpose of acting as a financial incentive to promote freight fluidity. (Opening Brief, at 18-20). Complainant argues, based on this principle, that Respondent's D&D charges were unreasonable in six ways: 1) Respondent's policies were not written to ensure compliance with the Incentive Principle; 2) Respondent assesses D&D charges even when customers are not responsible for their inability to move their cargo; 3) when D&D charges are disputed, Respondent holds its customer's cargo hostage, and continues to charge D&D until the customer pays the disputed charges; 4) Respondent gives preferential treatment to certain customers to the detriment of customers like Complainant; 5) Respondent's revenue for D&D exceeded its underlying costs during the relevant time period; and 6) Respondent used D&D charges not to offset costs due incurred due to dilatory shippers, but to profit greatly. (*Id.*, at 20-28). Complainant asserts that these unjust and unreasonable practices proximately caused Complainant to incur over \$1 million in D&D charges. (*Id.*, at 28-

29).² As for § 41104(a)(10), Complainant alleges that Respondent failed to deal or negotiate by its various practices. (Opening Brief, at 29-31). In addition, much of Complainant's Opening Brief argues that Respondent failed to engage properly in discovery, and therefore Complainant should be entitled to several adverse inferences. (*Id.*, at 6-15).

Respondent filed Respondent's Opposition Brief (the "Response") on December 6, 2024. Respondent argues that in order to succeed under § 41102(c), Complainant must show that each and every D&D charge is unreasonable, meaning that Complainant is required to show that it was unable to pick up or return each individual container for reasons outside its control, and that the D&D charge did not incentive freight fluidity. (Response, at 6-7, 19-22). Regarding § 41104(a)(10), though Complainant alleges that Respondent refused to deal or negotiate, Complainant cites to no individual instances of such a failure. (*Id.*, at 9). In addition, Respondent argues that it responded appropriately to Complainant's discovery requests. (*Id.*, at 12-17). Respondent also attacks Complainant's expert witness as being unqualified, as applying the incorrect standards, as being irrelevant and unreliable, and for errors and unsupported assumptions. (*Id.* at 24-48). Respondent alleges that Complainant engaged in discovery-related misconduct, and thus the Amended Complaint should be dismissed, or that the Complainant's expert report should be stricken. (*Id.* at 48-54). Finally, Respondent argues that neither Complainant was a direct purchaser, nor was RIM Logistics, from whom Complainant obtained an assignment. (*Id.* at 63-64).

Complainant filed Complainant's Reply Brief in Further Support of its Claims Against Cosco Shipping Lines Co. Ltd. ("Reply") on December 20, 2024. Complainant reiterates that RIM Logistics was Respondent's customer, that Complainant received an assignment from RIM Logistics, and that the relevant charges were imposed by Respondent, not third parties. (Reply, at 2-9). Complainant asserts that it does not need to prove its case on a charge-by-charge basis, and that Respondent's invoice practices were unreasonable. (*Id.* at 9-13). Complainant again argues that it is entitled to adverse inferences due to Respondent's misconduct during discovery. (*Id.*, at 13-23). Complainant also argues that its expert report is admissible. (*Id.*, at 23-38).

On April 9, 2025, after Respondent complied with the February 10 Order, Complainant filed its Supplemental Brief wherein it reiterated its prior arguments. Complainant also expanded on its argument that the Commission's prior decisions did not "force the claimant to prove causation on a discrete, container-by-container basis when proving damages." (*Id.* at 3, citing *MCS Indus., Inc. v. COSCO Shipping Lines Co. Ltd.*, Dkt. No. 21-05 (FMC July 16, 2024); *OJ Com., LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, Dkt No. 21-11 (ALJ June 7, 2023), *aff'd in part*, Dkt. No. 21-11 (FMC Aug. 27, 2024)).

On April 17, 2025, Respondent filed its supplemental brief.

² Complainant's expert witness argues that, as an alternative, multiplying the amount Respondent charged Complainant by 12.52% would correct for Respondent's overcharges. Thus, Respondent's overall charges should be reduced to \$145,458. (Complainant's Amended Expert Report, at CX600). Complainant's Opening Brief does not make this argument, and therefore I do not consider this potential form of relief or related arguments.

II. FINDINGS OF FACT

A. Findings of Fact Regarding Parties

1. Complainant Visual Comfort & Co. (“VCC” or “Complainant”) is a corporation organized and existing under the laws of Texas. Complainant is a “shipper” pursuant to 46 U.S.C. § 40102(23). (Complainant Visual Comfort & Co.’s Proposed Findings of Fact (“CPFF”), at 2; Respondent COSCO’s Responses to Complainant Visual Comfort & Co.’s Proposed Findings of Fact (“RRCPFF”), at 4).
2. Complainant has obtained an assignment of its reparations claim from its non-vessel-operating common carrier (“NVOCC”) RIM Logistics. (CPFF, at 2; RRCPFF, at 4).
3. Respondent COSCO was established in 2016, and is a Chinese global ocean carrier with its U.S. office/general agent located at 100 Lighting Way, Secaucus, NJ 07094. (CPFF, at 2; RRCPFF, at 4-5).
4. COSCO is a vessel-operating ocean common carrier as that term is defined by 46 U.S.C. § 40102(18). (CPFF, at 2; RRCPFF, at 5).
5. COSCO offers container transportation in 144 counties and serves multiple ports in the United States. COSCO is a member of the OCEAN Alliance, the second-largest global shipping alliance representing 16% of global capacity. (CPFF, at 2-3; RRCPFF, at 4-5).

B. Findings of Fact Regarding Complainant’s Business and Logistics

6. In 2020 and 2021, China was the chief original location for most of Complainant’s goods. (Hirschel Dep., at CX19:14-CX21:1).
7. As a consignee, Complainant does not contract directly with ocean carriers such as COSCO. Rather, Complainant partners with NVOCCs. (O’Toole Dep., CX372:9-19).
8. VCC was Respondent’s customer through an NVO partner. (O’Toole Dep., CX378:17-20).
9. RIM Logistics is an NVOCC. (Hirschel Dep., CX29:1-5).
10. RIM Logistics is Complainant’s broker “who helps [VCC] contract [VCC] space for [VCC] product from point A to point B.” (Hirschel Dep., CX27:7-9).
11. Complainant’s contract with its NVOCC RIM Logistics would be renegotiated annually, but the negotiated rates for ocean transportation did not change between 2020 and 2022. (O’Toole Dep., CX381:2-20).
12. Complainant used several drayage providers, including Sher-Del Transfer (“Sher-Del”), Knight Transportation R&M and Atlantic Intermodal. (O’Toole Dep., at CX408:6-13; CX413:8-17).

13. Complainant's primary ports used to import its cargo include Los Angeles, Long Beach, ports of New York and New Jersey, and Houston. (O'Toole Dep., CX376:3-8). Complainant also periodically used other ports, such as Prince Rupert and Vancouver. (Hirschel Dep., CX37:15-19; O'Toole Dep., CX376:3-8). Shipments to the Canadian ports were transported via rail to Skokie, Illinois. (O'Toole Dep., CX431:13-21).
14. VCC's process for handling inbound loaded ocean containers includes engaging a drayage provider to transport loaded containers from the terminal to a container facility. (O'Toole Dep., CX408:2-22).
15. Complainant tracks all of its shipments by container number. (Hirschel Dep., CX74:16-22).
16. During the pandemic, increased container demand resulted in more ocean carrier vessels arriving to port than pre-pandemic numbers. (CPFF, at 5; RCPFF, at 12).
17. Over the course of 2021 and 2022, VCC operated four distribution centers in the United States. In addition, Complainant partnered with third parties for short-term warehousing. (O'Toole Dep., 405:6-21).

C. Finding of Facts Regarding Port Congestion

18. At all relevant times, VCC's business practice was to make every effort to collect and return containers as quickly as possible to avoid detention and demurrage charges. (O'Toole Dep., CX417:17-21; CX423:15-CX424:10).
19. A witness for Complainant testified that even without demurrage, Complainant had an incentive to move its cargo from the port because it wanted to sell the product. (O'Toole Dep., at CX511:15-CX512:1).
20. Complainant did not abandon cargo. (O'Toole Dep., CX496:2-4; Hirschel Dep., CX37:8-10).
21. During the pandemic, Complainant experienced issues with getting containers out of ports, as well as returning empty containers. (O'Toole Dep., CX417:17-CX418:11).
22. Due to congestion at ports during the pandemic, Complainant was unable to get as many containers from ports as it wanted. (O'Toole Dep., at CX486:19-CX487:7).
23. During the pandemic, increased container demand resulted in more ocean carrier vessels arriving to port than pre-pandemic numbers. A consequence of this increased volume was "vessel bunching." (O'Toole Dep., at CX433:8-CX435:3). Vessel bunching is where there is a long queue of ships waiting to get into the port for unloading, which impacts unloading schedules. (O'Toole Dep., at CX419:16-CX420:8).
24. Complainant experienced delays in unloading cargo in its warehouses in 2021 and 2022 when vessel bunching occurred, and the cargo came in "lumpy" fashion. (Hirschel Dep., CX79:16-CX80:6). Complainant utilized additional facilities to help unload cargo due to

the vessel bunching and influx of containers. (Hirschel Dep., at CX81:6-CX83:3; O'Toole Dep. 417:2-21). A witness testified that:

I believe that there were instances where due to vessel bunching and the number of containers becoming available at one time prohibited Burlington from fully unloading them. So we had issues with not only getting containers out of the port, but also, returning empties. So congestion happened in our yard as we awaited available appointments to return those empties. And, you know, we looked for outlets and to be as good a partner as possible to unload these things.

(O'Toole Dep., CX418:2-11).

25. A witness for Complainant testified that vessel bunching would likely have resulted in congestion at rail yards. (O'Toole Dep., at CX432:14-22).
26. A witness for Complainant testified that when vessel bunching occurred, vessels left before loading empty containers, which led to congestion. (O'Toole Dep., at CX421:10-CX422:5).
27. A witness for Complainant testified that Respondent ordered its vessels to depart from port before conducting a sweep for empty containers. (O'Toole Dep., CX421:10-CX422:14; 433:8-435:3).
28. When vessels departed before loading up empty containers, or below vessel utilization, those empty containers built up and clogged ports and terminals. (O'Toole Dep., CX433:8-435:3).
29. A witness for Complainant testified that had Respondent's vessels waited to load empty containers, the fluidity of COSCO cargo at terminals would have improved. (O'Toole Dep., CX422:6-14).
30. After Respondent's decision to release outbound vessels prior to loading empty containers, a container equipment shortage developed because containers were being unnecessarily and unexpectedly brought out of circulation and not returned to their ports of origin. (O'Toole Dep., CX433:8-435:3).
31. A witness for Complainant testified that it was unable to get some of its containers out of the port because Respondent required "one-for-one" swaps, meaning a customer would need to return an empty container before it could pick up a new one. (O'Toole Dep., at CX483:15-22). Further, the swapped container would need to match the steamship line's container. (O'Toole Dep., at CX484:9-18).
32. The record contains an email exchange between Complainant's employee and an employee for Sher-Del dated August 25, 2022. In it, the employee for Complainant writes: "Understood. . . we do have a lot at MAHER, I know we'll be working this Saturday. . . any chance you'd want to grab some and drop them off that day?" The employee for Sher-Del responded: "We'll be finished with everything I have here

tomorrow so hoping I can get a bunch picked up with some of these Cosco empties. Those at least we can do double moves with.” When asked by Complainant’s employee how many containers Sher-Del had, the Sher-Del employee responded: 2 Cosco – double moves only[.]” (CX1214-CX1218).

33. Witnesses for Complainant testified that due to congestion at ports and related unavailability of appointments to return containers, as well as the “one-for-one” swap or double-move rules, Complainant was often unable to return containers on time. (Hirschel Dep., at CX93:15-21; O’Toole Dep., at CX433:8-CX435:3; *see also* CX1207-CX1218).
34. A witness for complainant testified that due at least in part to the influx in cargo and delays associated with vessels departing prior to loading empties, there was a lack of appointments and space to return containers. (O’Toole Dep., 433:8-435:3).
35. A witness for Complainant testified that Respondent continued to route shipments to the same major ports most likely because COSCO had its lowest rate contracts with those high-volume ports. (O’Toole Dep., CX440:15-CX442:3).

D. Finding of Facts Regarding Fees at Issue

36. Complainant asserts it paid \$1,161,807 in wrongful charges since 2020. (CPFF, at 1; Complainant’s Amended Expert Report (“CAER”), at CX558).
37. Complainant’s Appendix contains a spreadsheet that is described as: VCC COSCO Charges by Container Number (the “Charges Spreadsheet”). (CX1221-CX1237). It is substantially similar to a spreadsheet identified by Respondent as VCC000005. (*Compare* Charges Spreadsheet *with* Second MTD, Ex. 1; *see also* RX158). The Charges Spreadsheet, however, has three additional columns of information on the right side of the spreadsheet, and rounds cents to dollars. Unlike the VCC000005 spreadsheet, the Charges Spreadsheet identifies the containers associated with each bill of lading in the two right-most columns. Numerous bills of lading had multiple containers associated with the bill of lading. (*See generally* Charges Spreadsheet).
38. Reviewing VCC000005 and the Charges Spreadsheet carefully, and excluding shipments with a destination of Skokie, Illinois, there are 327 charges identified (plus an additional 10 identified as negative charges). There were numerous master bills of lading (“MBL”) that generated multiple invoices for late charges. For example, MBL COSU6324516550, which involved three containers with a destination of North Las Vegas, generated eleven separate invoices, two of which were for negative amounts, for total accessorial fees of \$35,753.04. (*See* VCC000005, COSCO tab lines 302-312; *see also* Charges Spreadsheet; CX1232-CX1233). Similarly, COSU6313176580 related to three containers with a destination of North Las Vegas, generated ten separate invoices for different types of charges (storage, storage-dwell fee, storage line demurrage, storage port demurrage), for total accessorial fees of \$19,440. (*See* VCC000005, COSCO tab lines 157-166, CX1227). There are 131 unique MBLs when removing shipments destined for Skokie, Illinois, and 227 containers. (VCC000005, Charges Spreadsheet). When removing shipments to Skokie, Illinois, VCC000005 and the Charges Spreadsheet shows nineteen demurrage

charges totaling \$14,453; \$0 in detention charges, three “per diem” charges totaling \$540, and 305 “storage” charges totaling \$1,146,814. (*Id.*). The invoices identified are dated from January 9, 2021, through November 28, 2022. (*Id.*).

39. Neither VCC000005 nor the Charges Spreadsheet is authenticated by way of a declaration, affidavit, deposition, or any other testimony.
40. Neither VCC000005 nor the Charges Spreadsheet is dated.
41. A witness for Complainant testified that VCC000005 was compiled by a consultant that performs work for Complainant based on material provided by Complainant. (O’Toole Dep., CX514:5-21).
42. A witness for Complainant testified that detention and demurrage charged by Respondent would be charged to Complainant by its NVOCCs as pass-through charges, meaning that there were no markups on any charge by the NVOCC. (O’Toole Dep. CX387:16- CX388:13).
43. The record contains five invoices from RIM Logistics to VC Brands, LLC.³ (CRX1-CRX2, CRX7-CRX8, CRX10-CRX11, CRX23-CRX24, CRX29-CRX30). The invoices are dated, respectively, February 8, 2023, March 1, 2023, September 16, 2022, April 8, 2023, and March 2, 2023. (*Id.*).
44. Of the five RIM Logistics invoices located in the record, three are related to charges imposed by another carrier, CMA CGM. RIM Logistics invoice no. S00450448/A for \$4,530, and related bill of lading no. CMDUSHZ5273058, is related to an invoice issued by CMA CGM for \$4,530, related to bill of lading no. SHZ5273058. (CRX1-CRX3). RIM Logistics invoice no. S00453493/A for \$4,080, and related bill of lading no. CMDUSHZ5298525, is related to an invoice issued by CMA CGM for \$4,080, related to bill of lading no. SHZ5298525. (CRX7-CRX9). RIM Logistics invoice no. S00450901/A for \$4,370, and related bill of lading no. CMDUGHC0237475, is related to an invoice issued by CMA CGM for \$4,370, related to bill of lading no. GHC0237475. (CRX29-CRX31).
45. The other two RIM Logistics invoices, S00424973/A and S00463438/A, appear to be related to OOCL invoice nos. 380 153312B, 380 170505B, and 380 495261B, and are for demurrage charges. (CRX10-CRX15, CRX23-CRX26).
46. COSCO SHIPPING Holdings Co., LTD acquired OOCL, another carrier, in 2018. (McCown Dep., CX292:3-6; CX295:5-CX296:11; Expert Rebuttal Report of Daniel Hackett (“Hackett Report”), RX47, RX88).

³ For purposes of this decision, I assume VC Brands, LLC, is a related entity to Complainant.

47. None of the five invoices from RIM Logistics located in the record are located on VCC000005 or Charges Spreadsheet, including the two invoices related to OOCL.
48. The record contains four invoices from Respondent's agent to RIM Logistics, which are all titled "Detention (Per Diem) Invoice[.]" (CRX6; CRX16; CRX18-CRX22). All these invoices, which are either from September or October 2022, identify the container location (Charleston or New York), the date a container is available for pickup, the date free time ended, the date the container was picked up, and the number of days charged. (*Id.*). Respectively, the invoices are related to container no. OOLU9364572, for six-days' charges totaling \$1,025 (CRX6); container no. CSNU6698250, for one-day's charge totaling \$125 (CRX16); container no. OOLU9289519, for two-days' charges totaling \$305 (CRX18); container no. TRHU5739707, for two-days' charges totaling \$305, and container no. CBHU9150132, for three-days' charges totaling \$485 (CRX19-CRX20); as well as container no. CSNU7787109, for six-days' charges totaling \$805 (CRX21-CRX22).
49. The charges related to container nos. TRHU5739707, CBHU9150132, and CSNU7787109, which total \$1,595, are identified on the Charges Spreadsheet as demurrage, and were associated with RIM Logistics invoice no. S00427321/B. (CX1234). RIM Logistics invoice no. S00427321/B, however, is not in the record.
50. A witness for Complainant testified that per diem and detention are interchangeable, and that yard storage charges are interchangeable with demurrage. (O'Toole Dep., CX385:1-12; CX428:6-14).
51. A witness for Complainant testified that he understood that the majority of charges at issue in this case were for detention charges. (O'Toole Dep., 427:16-22).
52. The record contains an email exchange between Complainant's employee and an employee for Sher-Del located at CX1207-CX1209. None of the 22 containers identified in this email exchanges are listed on the Charges Spreadsheet. (*Compare* CX1208 with VCC000005, Charges Spreadsheet). In the email exchange, there is a comment that carriers are not removing empty containers. (CX1207).
53. A witness for Complainant testified that it sought additional free time through RIM Logistics, or, alternatively, at least to keep the period of free time it had, but it was reduced. (O'Toole Dep., CX391:2-9).
54. One Complainant witness testified that he asked someone at RIM Logistics to request additional free time but was unable to say for certain whether RIM Logistics made such a request. (O'Toole Dep., CX391:10-CX392:10). A different witness for Complainant also testified that Complainant asked RIM Logistics for additional free time but does not know if RIM Logistics ever asked Respondent. (Hirschel Dep., at CX77:15-CX78:2).
55. The record contains an electronic exchange at CX1177-CX1179. The RIM Reference number identified in this electronic exchange is not identified on VCC000005 or the Charges Spreadsheet. (*Compare* CX1177-CX1179 with VCC000005 and Charges Spreadsheet).

56. The record contains an electronic exchange at CX1180-CX1184. The bill of lading identified in this electronic exchange is not identified on VCC000005 or the Charges Spreadsheet. (*Compare CX1180-CX1184 with VCC000005 and Charges Spreadsheet*).
57. The record contains an electronic exchange at CX1185-CX1189. The bill of lading identified in this electronic exchange is not identified on VCC000005 or the Charges Spreadsheet. (*Compare CX1185-CX1189 with VCC000005 and Charges Spreadsheet*).
58. The record contains an electronic exchange at CX1190. The containers identified in this electronic exchange are not identified on the Charges Spreadsheet. (*Compare CX1190 with Charges Spreadsheet*).
59. The record contains an electronic exchange at CX1191-CX1193. The bill of lading identified in this electronic exchange is not identified on VCC000005 or the Charges Spreadsheet. (*Compare CX1191-CX1193 with VCC000005 and Charges Spreadsheet*).
60. The record contains an electronic exchange at CX1194-CX1204. Neither the bill of lading identified, nor the container number identified in this electronic exchange are identified on VCC000005 or the Charges Spreadsheet. (*Compare CX1194-CX1204 with VCC000005 and Charges Spreadsheet*).
61. The record contains an electronic exchange at CX1205-CX1206. None of the bills of lading identified in this electronic exchange are identified on VCC000005 or the Charges Spreadsheet. (*Compare CX1205-CX1206 with VCC000005 and Charges Spreadsheet*).
62. When one of Complainant's witnesses was asked if Complainant could point to any particular container that was unable to be picked up when full, or returned when empty, the witness testified no. (Hirschel Dep., CX76:7-CX77:6).
63. When asked if Respondent checks if a dispute has been filed prior to sending an invoice, Respondent's witness testified that there is no proactive process other than updating Respondent's system for known gate closures. (Takase Dep., CX765:19-CX766:12).
64. Respondent did not monitor if appointments were unavailable. (Takase Dep., CX798:5-17).
65. Unless Respondent was aware of a gate closure or its own operational fault, it required a customer to dispute any detention or demurrage charges, including submitting proof, such as screenshots showing unavailable appointments, or an email between the terminal and trucker indicating an inability to return a container. (Takase Dep., at CX729:10-CX730:17; CX766:13-CX768:1; CX798:18-CX800:2).
66. While testifying regarding the topic of tariffs, Respondent's witness was asked questions about per diem. The witness testified that Respondent considers the terms "per diem" and "detention" to be interchangeable and are charged as part of demurrage. (CX718:1-CX719:19).

67. Respondent's corporate designee witness was asked the following question, and gave the following testimony:

Q We talked earlier about the definition of detention and demurrage and per diem. What are storage charges?

A Well, I guess depending on how it's used, storage charges could be container storages imposed by the vendors. It could be a terminal, a trucker, a rail ramp.

Regarding demurrage itself for a port terminal, the port terminal's demurrage would be roughly defined as their on dock storage. And COSCO's demurrage would be a combination of the terminal's on dock storage plus our container usage costs.

Q Does COSCO invoice its customers for anything that it categorizes as storage charges?

A So we would invoice for the demurrage, which if it's invoicing through COSCO, it would be the port storage plus the container usage fees, which we bundle together as our COSCO tariff demurrage.

Q And who ultimately receives the port storage fees?

A So that would be billed to the customer. And -- well, the entire amount would be billed to the customer. COSCO has to pay the terminal these storage fees.

Q You cut out at the end. COSCO has to pay the terminal --

A So if the billing is controlled all through COSCO, based on our carrier tariff, we would bill the customer what our tariff rate is. That's inclusive of the terminal storage costs that COSCO has to pay the terminal. So the terminal is invoicing us for the port storage, and then we're billing the customer the demurrage rate for our tariff.

Q And is the terminal storage costs broken out separately from COSCO's demurrage in the invoice to the customer?

A Depending on the terminal. For most terminals, it is not. It's just the one lump sum, and it's based off of the rate that's published in our carrier tariff.

(Takase Dep., at CX758:12-CX760:11).

68. Respondent's witness did not know if Respondent had a written policy to not bill detention or demurrage in situations in which such fees did not incentivize fluidity of cargo. (Takase Dep., CX811:3-20).

69. Respondent's witness testified that double-moves were required by the terminals. (Takase Dep., CX750:3-15). Complainant's witness testified that he did not know if Respondent required double-moves, but believed the Respondent did. (O'Toole Dep., CX257:17-CX258:4)
70. Complainant's exhibits contain 18 pages of materials that Respondent produced in discovery. (CX600-CX617).
71. Respondent's corporate designee was asked about a particular email address, shaperdiem@coscon.com, and he testified that it is used to dispute detention or per diem invoices. (Takase Dep., at CX995:17-CX996:11).

E. Findings of Fact Regarding Complainant's Expert Report

72. Complainant retained John D. McCown to provide expert testimony. (*See* Complainant's Expert Witness Designation, April 15, 2024).
73. Mr. McCown's original expert report, dated June 14, 2024, is in the record, attached to Respondent's Second MTD as Exhibit 2 (the "June 14 Expert Report"). The June 14 Expert Report is signed. In addition, it has a copy of Appendix 2, which identifies the documents Mr. McCown reviewed in drafting his report. Other than VCC000005, it appears that Mr. McCown reviewed no document specific to the issues in this case. (Second MTD, Ex. 2, at 37).
74. Mr. McCown was deposed on September 26, 2024. (CX103-CX348). It became apparent during Mr. McCown's deposition that he did not use VCC000005 to draft the June 14 Expert Report, but instead relied on the wrong spreadsheet. (CX341:20-CX345:4; CRX39-CRX40).
75. The record contains a document entitled Amended Expert Report of John D. McCown ("CAER"). (CAER, CX525-CX561). The CAER, dated October 17, 2024, is not signed, nor does it have a copy of Appendix 2. (CAER, CX560).
76. In the CAER, Complainant's expert opines that Respondent's D&D rates are unreasonably high (CAER, CX542-CX546), shippers like Complainant were not responsible for the congestion that led to D&D charges, and therefore should not be responsible for the D&D charges (CAER, CX546-CX548), Respondent likely made more money in D&D charges during the pandemic than did its competitors (CAER, CX549-CX555), Complainant likely incurred more D&D charges than did larger shippers because Complainant was a comparatively smaller customer (CAER, CX555-CX557), and Complainant does not have a policy of picking up or returning cargo in an untimely manner because there is no consistent pattern of D&D charges assessed to Complainant (CAER, CX558-CX560).
77. The Complainant's expert stated that based on files he reviewed, Respondent moved 1,844 containers for Complainant from Asia to the United States. (CAER, CX548-CX549). In addition to ocean freight charges, he stated that Complainant paid demurrage charges of \$14,453, detention charges of \$0, per diem charges of \$540, and yard storage

charges of \$1,146,814, for a total of additional charges of \$1,161,807. (*Id.*). This information is compiled in Table 7 of the CAER. (CAER, CX548-CX549).

78. Because the CAER does not have Appendix 2, it is unclear what files Mr. McCown reviewed in compiling the information compiled in Table 7 of his CAER. (CAER, CX548). He cites documents identified as “VCGPOR – Year 2021 file name” and “VCGPOR – 2022 Report file name” in the CAER, but it is unclear from the record what those documents are. (CAER, CX548, at n.26). Mr. McCown states in an affidavit that: “All data in my report regarding COSCO’s charges to VCC was drawn from VCC000005.” (CRX41).
79. Mr. McCown notes that shipments with a destination of Skokie, Illinois, which included the shipments that traveled through Canadian ports, were removed from his totals discussed in ¶ 77. (CRX41).
80. In his deposition, Mr. McCown was asked the following question, and gave the following answer:

Q Do you have any indication that yard storage was, in this, in your Table 7, relates to full containers or empty containers?

A I'm pretty sure that it's -- that it's empty containers. And that it's empty containers, and I wouldn't be surprised if it's empty containers that they're attempting to give back in the terminals full and, you know, they spend some time at a storage facility that the trucking company has.

And, you know, but -- and maybe that's why somebody used the term yard storage. But I do know that -- I understand from Gary and Tom that all of this relates to detention. And that, of course, fits it. Look at -- look at the data, you know, of the million six just listed as detention is 16,000.

You know that's, what, 1 percent? I know from reviewing the emails, all of the problem or the big part of the problem was returning empties. You know, I'm sure they would be -- if we could settle, VCC would be jumping up and down if, you know, everybody agrees that they only have to pay 16,000 for real detention.

It's those other two categories that are the rule of detention. I don't know. I can't explain the difference in the category, but I do know in the email traffic and the constant concern from Tom to the trucker in terms of what's going on.

...

Q But you're -- do you have any -- you're basing your opinion on an email traffic between VCC and its storage provider; is that correct?

A Oh, no. No, I'm not basing my opinion on. I'm basing my categorization or my understanding of that yard storage is detention based on what VCC told me. Because I had that specific question, and they told me that that is a detention, or that is -- that is a bill that was paid to COSCO. And then knowing that and looking at the email traffic, and the email traffic makes it

quite clear that there was a massive problem in returning empties in the New York area.

(McCown Dep., CX251:20-CX254:2).

81. As noted above, Mr. McCown opined that: “there is no pattern that is consistent with VCC taking the same amount of time in overusing equipment that one would expect if it were a systematic policy.” (CAER, CX558). For support, Mr. McCown states he “reviewed the 419 shipments on which demurrage, detention and associated accessorial charges were paid by VCC.” (*Id.*). He states that the data is summarized in Table 13 of his Amended Expert Report. (*Id.*). Table 13 identifies a total count of “319” – which are presumably shipments. (*Id.*).
82. The Complainant’s expert opined that any attempt by Respondent “to claim that damages should only be assessed on an invoice-by-invoice basis should be rejected as disingenuous.” (CAER, at CX558-CX559). The Complainant’s expert continues, stating that Respondent “is well aware that between time and the typical way such invoices are processed that it is virtually impossible to reconstruct specific details related to any invoice and would be inefficient even if such information was obtainable.” (*Id.*). Using an analogy, the Complainant’s expert states: “A state trooper can issue a speeding ticket to a car that goes 10 miles from point A to point B in 5 minutes without ever witnessing when or where the car was speeding. The actual data demonstrates that it must have occurred,” just as the data in this case shows Respondent acted outside industry norms. (*Id.*).
83. Respondent submitted a rebuttal expert report. (Hackett Report, RX37-RX106).

III. ANALYSIS AND CONCLUSIONS OF LAW

A. Burden of Proof

To prevail in a proceeding brought to enforce the Shipping Act, “a complainant has the burden of proving by a preponderance of the evidence that the respondent violated the Act. In general, the burden of proof is on the complainant.” (*Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey*, Dkt. No. 17-07, 1 F.M.C.2d 264, 278; 2019 WL 1376529, at *13 (ALJ Mar. 25, 2019); *see also* 5 U.S.C. § 556(d)). “It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation.” (*OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG & Hamburg Sud N. Am., Inc.*, Dkt. No. 21-11, 2023 WL 3969857, at *20 (ALJ Jun. 7, 2023) (“*OJ Commerce I*”) (*aff’d in part OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG & Hamburg Sud N. Am., Inc.*, Dkt. No. 21-11, 2024 WL 4034610 (FMC Aug. 27, 2024) (“*OJ Commerce II*”))).

B. Jurisdiction

The Shipping Act provides that: “A person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part. . . .” (46 U.S.C. § 41301(a)). “Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a

respondent committed an act prohibited by the Shipping Act.” (*OJ Commerce I*, Dkt. No. 21-11, 2023 WL 3969857, at *19). Here, the Verified Amended Complaint alleges violations of the Shipping Act by Respondent.

In general, the Commission has jurisdiction over certain regulated entities, including ocean common carriers (“OCC”). (*See, e.g.*, 46 U.S.C. §§ 40102(7), 41102(c)). An OCC is:

a person that—

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. . . .

(46 U.S.C. § 40102(7)).

Here, although most of Complainant’s shipments were from ports overseas to ports in the United States, Complainant also had some shipments to Canadian ports. (*See Findings of Fact*, ¶¶ 6, 13). Shipments to the Canadian ports were transported via rail to Skokie, Illinois. (*Id.*). Complainant withdrew its claims involving containers shipped to Complainant’s warehouse in Skokie, Illinois. (*See Findings of Fact*, ¶ 79). In so doing, Complainant eliminated a potential problem with jurisdiction related to some containers. (46 U.S.C. § 40102(7)(iii)). Therefore, I find the Commission has jurisdiction to hear this matter.

C. Alleged Violation of 46 U.S.C. § 41102(c)

Complainant argues that Respondent violated § 41102(c) in several ways. Among them, Respondent charged Complainant unreasonably high detention and demurrage fees because Complainant did not remove its equipment from, or return equipment to, various ports in a timely manner. Respondent unreasonably imposed detention and demurrage fees without regard to whether Complainant could actually access the ports. Respondent’s dispute resolution procedures were unreasonably opaque. And Respondent contributed to the supply-chain congestion by unreasonably having its ships set sail without loading all of its empty containers onto the ships. I address § 41102(c) below.

1. Elements of a Claim Under 46 U.S.C. § 41102(c)

Section 41102(c) of the Shipping Act provides that an OCC “may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling storing or delivering property.” (46 U.S.C. § 41102(c)).

By regulation, the Commission has identified five elements of a claim under § 41102(c):

(a) the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) the claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis; (c) the practice or regulation relates to or is connected with receiving, handling, storing or delivering property; (d) the practice or regulation is unjust or unreasonable; and (e) the practice proximately caused the claimed loss.

(46 C.F.R. § 545.4).

a. Respondent is an Ocean Common Carrier

There is no question Respondent is an OCC. Respondent admits as much. (Findings of Fact, ¶ 4). Moreover, Respondent was acting as an OCC for the remaining containers at issue, which were transported from an overseas port to a port in the United States. (Findings of Fact, ¶¶ 6, 13). Therefore, the first element of a claim under § 41102(c) is met.

b. Normal, Customary, and Continuing Basis

The second element of a claim under § 41102(c) is that the claimed acts occurred on a normal, customary and continuous basis. I find that Complainant has carried its burden of showing that it is more likely than not that this element is satisfied regarding demurrage and per diem charges. I also find that Complainant has not carried its burden of showing that it is more likely than not that this element is satisfied regarding storage charges.

In *TCW, Inc. v. Evergreen Shipping Agency*, the Commission affirmed the Small Claims Officer's ("SCO") conclusion that the second element of a § 41102(c) claim was satisfied, even though there was only three days' worth of charges at issue, because the detention charge was imposed pursuant to the Uniform Intermodal Interchange and Facilities Access Agreement. (*See TCW, Inc. v. Evergreen Shipping Agency*, Dkt. No. 1966(I), 2022 WL 18068977, at *4-5 (FMC Dec. 29, 2022) ("*TCW I*") (*vacated and remanded on other grounds sub nom. Evergreen Shipping Agency v. FMC*, 106 F.4th 1113 (D.C. Cir. 2024)).

Here, VCC000005 and the Charges Spreadsheet assert that Respondent charged \$14,452 in demurrage fees. (*See Findings of Fact*, ¶¶ 38, 77). Of that amount, \$1,595 in demurrage charges are substantiated by invoices in the record. (*See Findings of Fact*, ¶ 49). Although not expressly established, it appears from Respondent's witness's deposition testimony that the demurrage charges were imposed pursuant to a tariff. (Findings of Fact, ¶¶ 66-67). Therefore, it appears that Respondent imposed the demurrage at issue on Complainant (through RIM Logistics) by means of a tariff. Accordingly, I find that it is more likely than not that the demurrage charges were imposed on a normal, customary, and continuing basis.

Regarding "per diem" charges, after the shipments to Skokie, Illinois, are removed, VCC000005 and the Charges Spreadsheet show no detention charges, and three per diem charges for a total of \$540. (Findings of Fact, ¶¶ 38, 77). The small number of alleged per diem charges alone does not preclude the finding that the charges were imposed on a normal, customary, and continuing basis. As discussed, in *TCW I*, the Commission affirmed the initial decision that concluded, in part, that three days' worth of detention charges could constitute a normal, customary, and continuing practice. (*TCW I*, 2022 WL 18068977, at *4-5). Further, it appears

that Respondent treats detention and per diem interchangeably, and both would be charged pursuant to a tariff. (Findings of Fact, ¶¶ 66-67). Therefore, I am satisfied that it is more likely than not that Respondent imposed the per diem charge pursuant to a practice.

As for storage fees, I find that Complainant has not carried its burden of demonstrating that Respondent imposes such charges on a normal, customary, or continuing basis. Complainant does not present persuasive evidence that Respondent's invoices contained a separate item for "storage" that is distinct from demurrage. As an initial matter, Respondent's witness testified that Respondent charges storage fees from the port as demurrage. (Findings of Fact, ¶ 67). Consistent with that testimony, the exemplar invoices from Respondent (or OOCL) in the record all appear to be for fees charged after the container remained at port after free time ended, which is typically called "demurrage"⁴; none have separate "storage" fees. (Findings of Fact, ¶¶ 45, 48-49).

Complainant presents little evidence that the storage charges are from Respondent. Complainant's witness testified that RIM Logistics passed through all charges from Respondent. (Findings of Fact, ¶ 42). But none of RIM Logistics's invoices listed on VCC000005 or the Charges Spreadsheet are in the record for verification purposes. Indeed, neither VCC000005 nor the Charges Spreadsheet are authenticated, dated, nor is the author identified other than being someone from a third party. (Findings of Fact, ¶¶ 39-41). Of the exemplar invoices from RIM Logistics, three are for charges from another carrier. While two of RIM Logistics invoices in the record are related to charges from Respondent's subsidiary, OOCL, none of the OOCL invoices are for anything but demurrage charges. (Findings of Fact, ¶¶ 44-45). In fact, the only information on either VCC000005 or the Charges Spreadsheet that can be verified are \$1,595 in demurrage charges that are on Respondent's invoices in the record. (Findings of Fact, ¶ 49).

Moreover, there is some evidence in the record that suggests that someone other than Respondent may have billed the storage charges. For example, Complainant's expert testified that some empty containers "spend some time at a storage facility that the trucking company has." (Findings of Fact, ¶ 80). Consistent with that testimony, Respondent's witness testified that storage charges could be imposed by a terminal, a trucker, or a rail ramp. (Findings of Fact, ¶ 67). Thus, there is some suggestion in the record that the storage fees are from someone other than Respondent, such as a trucking company.

Finally, I note that Complainant's expert said that the storage fees are essentially detention fees, which is consistent with email traffic regarding difficulty returning containers. (Findings of Fact, ¶ 80). But the Complainant's expert report does not disclose reviewing any emails. (Findings of Fact, ¶¶ 73, 75, 78). Regardless, the Complainant's expert's testimony alone, without other credible evidence, does not persuade me that Respondent imposed storage fees on Complainant on a normal, customary, and continuing basis.

For these reasons, I find that the second element of a claim under § 41102(c) is satisfied regarding demurrage and per diem charges, but not satisfied for storage charges. As for Complainant's claims regarding storage charges, those charges fail because there is no evidence

⁴ *Fact Finding Investigation No. 28 Final Report*, at 12-13 (Dec. 3, 2018) (available at [www2.fmc.gov/readingroom/docs/FF No. 28/FF-28_FR.pdf](http://www2.fmc.gov/readingroom/docs/FF%20No.28/FF-28_FR.pdf)) (last visited April 25, 2025)).

that such charges were imposed on Complainant by Respondent on a normal, customary, and continuing basis. Therefore, all of Complainant's claims regarding storage charges are **DENIED**.

c. Related to Property

The third element is that the practice or policy at issue must be related to or connected with the receiving, handling, storing, or delivering of the property at issue. I find that this element is satisfied. Complainant alleges that the charges at issue related to the transportation of containers. (*See generally* Opening Brief). Respondent does not contest this assertion. (*See generally* Response). The record contains two invoices from Respondent related to three separate containers, all of which are identified on VCC000005 and the Charges Spreadsheet. (*See* Findings of Fact, ¶ 49). Therefore, I find that it is more likely than not that the third element of a claim under § 41102(c) is satisfied.

d. The Practice or Regulation is Unjust or Unreasonable

Complainant argues that the \$1,161,807 in demurrage, detention, per diem and storage fees that Respondent allegedly charged were unjust and unreasonable. For the reasons discussed below, I find that Complainant has not carried its burden of demonstrating that the practices at issue were unjust or unreasonable.

i. Background Regarding Interpretive Rule

The Commission promulgated an interpretive rule applying “to practices and regulations relating to demurrage and detention for containerized cargo.” (46 C.F.R. § 545.5(a)). In general, “[i]n assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.” (46 C.F.R. § 545.5(c)(1)). Regarding demurrage charges, “[t]he Commission may consider in the reasonableness analysis the extent to which demurrage practices and regulations relate demurrage or free time to cargo availability for retrieval.” (46 C.F.R. § 545.5(c)(2)(i)). In addition, the Commission may consider “whether and how regulated entities provide notice to cargo interests that cargo is available for retrieval.” (46 C.F.R. § 545.5(c)(2)(iii)). As for detention charges, the Commission’s interpretive rule provides that: “Absent extenuating circumstances, practices and regulations that provide for imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, are likely to be found unreasonable.” (46 C.F.R. § 545.5(c)(2)(ii)). The rule continues, stating that:

(d) Demurrage and detention policies. The Commission may consider in the reasonableness analysis the existence, accessibility, content, and clarity of policies implementing demurrage and detention practices and regulations, including dispute resolution policies and practices and regulations regarding demurrage and detention billing. In assessing dispute resolution policies, the Commission may further consider the extent to which they contain information about points of contact, timeframes, and corroboration requirements.

(e) Transparent terminology. The Commission may consider in the reasonableness analysis the extent to which regulated entities have clearly defined

the terms used in demurrage and detention practices and regulations, the accessibility of definitions, and the extent to which the definitions differ from how the terms are used in other contexts.

(46 C.F.R. §§ 545.5(d)&(e); *see also Bakerly, LLC v. SeaFrigo USA, Inc.*, Dkt. No. 22-17, 2024 WL 4678461, at *21 (FMC Oct. 30, 2024)). The Final Rule promulgating 545.5 states that each case would be decided on its own facts. (*Interpretive Rule on Demurrage and Detention Under the Shipping Act* (“*Interpretive Rule*”), 85 FED. REG. 29638, 29642).

The Commission recently issued a decision discussing the interpretive rule in *TCW, Inc. v. Evergreen Shipping Agency (America) Corp.*, Dkt. No. 1966(I), 2025 WL 516256 (FMC Feb. 13, 2025) (“*TCW I*”). In that case, a trucker was charged detention for failing to return a chassis and container for several days after its free days expired. (*TCW II*, 2025 WL 516256, at *2). The trucker challenged the detention charges imposed while the port was closed for the Memorial Day weekend. (*Id.*). The Commission originally affirmed the initial decision of the SCO finding that the detention charges imposed while the port was closed to be unreasonable as the equipment could not be returned during those days. (*Id.*, at *3 (citing *TCW I*, Dkt. No. 1966(I), 2022 WL 18068977 (FMC Dec. 29, 2022))). The D.C. Circuit vacated and remanded the Commission’s decision, reasoning that the Commission did not analyze adequately the incentivizing effect of the detention charge at issue and did not respond to Respondent’s arguments. (*TCW II*, 2025 WL 516256, at *3 (citing *Evergreen Shipping Agency (America) Corp. v. Fed. Mar. Comm’n*, 106 F.4th 1113 (D.C. Cir. 2024))).

On remand, the Commission again affirmed the SCO’s initial decision. (*TCW II*, 2025 WL 516256, at *4-11). The Commission emphasized that it would assess the reasonableness of the detention charge at issue by balancing: “how a particular charge fits within the incentive principle to further the primary purpose of promoting freight fluidity alongside other arguments and extenuating circumstances raised by the parties to determine if they are relevant to assessing reasonableness and if so, whether they outweigh the finding under the incentive principle.” (*Id.* at *4). The Commission noted, among other things, that while detention charged over a weekend could incentive return of a container prior to the weekend, that does not necessarily promote freight fluidity. (*Id.* at *5-6). Moreover, allowing detention to accrue over a weekend disincentivizes regulated entities from improving freight fluidity. (*Id.*, at *6-7). As for the specific facts of the case, the Commission noted that it was not possible for the trucker to return the cargo to the port before the port was closed for the holiday weekend. (*Id.* at *6-7). The Commission discussed the counterarguments for why the detention was reasonable. (*Id.* at *8-9). For example, the Commission noted that the respondent provided a generous amount of free time, the relevant governing agreement had a dispute resolution provision, and the port closure was known in advance. (*Id.*). Nevertheless, none of these facts were dispositive. (*Id.*). The Commission concluded, based on the specific facts, that the charges were not reasonable because the trucker was unable to get the container back to the port before the weekend. (*Id.* at *9).

ii. Application of Interpretive Rule to This Case

Complainant makes several arguments regarding how the fees at issue in this case are unjust and unreasonable. As discussed above, Complainant argues that: Respondent failed to ensure its charges were consistent with the incentive principle (Opening Brief, at 20-21);

Respondent automatically assessed charges even when customers were unable to move cargo through no fault of their own (Opening Brief, at 21-24); Respondent held cargo hostage to extract payment despite valid disputes (Opening Brief, at 24-25); Respondent gave preferential treatment to larger customers at the expense of customers like Complainant (Opening Brief, at 25-26); Respondent's revenue from D&D charges far exceeded its costs, and it impermissibly profited (Opening Brief, at 26-28).

As noted, Complainant bears the burden of proof. (*PANYNJ*, 2019 WL 1376529, at *13; *see also* 5 U.S.C. § 556(d)). I may draw inferences, and direct evidence is not necessary for a complainant to prevail. (*OJ Commerce I*, 2023 WL 3969857, at *20). But findings may not be drawn from mere speculation. (*Id.*). Moreover, also as noted, whether a D&D charge is reasonable is a fact-specific inquiry that balances: “how a particular charge fits within the incentive principle to further the primary purpose of promoting freight fluidity” with other arguments and circumstances “raised by the parties to determine if they are relevant to assessing reasonableness and if so, whether they outweigh the finding under the incentive principle.” (*TCW II*, 2025 WL 516256, *4-11).

Due to the fact-specific nature of whether D&D charges are just and reasonable, it is appropriate to review the charges related to each individual container in order to determine whether a charge was unjust or unreasonable. This is precisely what Chief Judge Wirth did in *Hapag-Lloyd A.G.*, which was another case involving allegedly unjust and unreasonable D&D charges, and which was decided before the present case was commenced. There, the Commission issued an Order of Investigation and Hearing against the respondents to determine whether the respondents violated § 41102(c) for: 1) assessing detention in relation to eleven containers where return appointments were unavailable during free time, and 2) failing to waive detention when presented with evidence of unavailable appointments. (*Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. § 41102(c)*, Dkt. No. 21-09, 2022 WL 1239377, at *1 (ALJ Apr. 22, 2022) (settlement approved on appeal) (“*Hapag Lloyd A.G.*”). In the Initial Decision, while the ALJ determined that there were no specific evidentiary requirements, she reviewed the evidence regarding each individual container. (*Id.* at *26-30). Among other things, the ALJ noted that the trucking company that worked at the relevant port provided evidence that it attempted to make appointments to return containers, that it took screenshots of the appointment calendar if appointments were unavailable, that it used evidence from a website that gathered appointment data, and that it emailed the respondents regarding unavailability. (*Id.* at *21, *27). The ALJ concluded that where documentation was absent, she was unable to make findings. (*Id.* at *27). For example, for one particular container, the last free day was June 8, and there was evidence in the record that appointments were full on June 11, and June 14-16; thus, the ALJ found that the respondents charged detention for four days when the container was unable to be returned. (*Id.*, at *28). The ALJ also concluded that where evidence showed that appointments to return containers were unavailable, detention was inappropriate: “Therefore, [respondents] charged detention for fourteen days when there is evidence that sufficient appointments were not available. This policy and practice is unreasonable because no amount of detention could have incentivized the return of the containers on those fourteen days.” (*Id.*, at *30).

Applying the fact-specific, container-by-container analysis used in *Hapag-Lloyd A.G.*, I find that Complainant does not carry its burden of showing that any charges identified on

VCC000005, or the Charges Spreadsheet are unjust and unreasonable. Neither the Complainant's evidence of widespread congestion, described in witness testimony and email chains, nor the expert witness's analysis (Findings of Fact, ¶¶ 18-35, 52, 76), are persuasive. Such evidence does not satisfy Complainant's burden of showing that the \$1,270.50 demurrage charge related to container no. CBHU7035166 was unjust or unreasonable. (CX1237). The same is true for the \$305 demurrage charge related to container no. TRHU5739707. (CX1234). And, even if Complainant could show Respondent imposed storage fees on a normal, customary, and continuing basis, it is unclear that the \$3,630 storage fee related to container no. TCNU1799622 was unjust or unreasonable. (CX1227). In *Hapag-Lloyd A.G.*, the ALJ was unable to make any factual findings where specific evidence did not exist. (*Hapag-Lloyd A.G.*, 2022 WL 1239377, at *27). For example, even where there was evidence that a container could not be returned on June 11 and June 14, the ALJ made no findings regarding June 12 and June 13. (*Id.*, at *27). Moreover, in *Hapag-Lloyd A.G.*, only after Chief Judge Wirth identified specific evidence that a container could not be returned on a given day, such as in the form of a screenshot or email, was she able to conclude that the container could not be returned. (*Id.*, at *30; see accord *TZ SSE Buyer, LLC v. Yang Ming Marine Transport Corp.*, Dkt No., 24-10, 2025 WL 1083815, at *19-23 (ALJ March 24, 2025) (notice not to review April 24, 2025) (denying almost all of complainant's claims for wrongful demurrage due to a lack of specific evidence, but permitting two claims because specific evidence was introduced); *Simple Forwarding Inc. v. China United Lines Ltd.*, Dkt. No. 2010(F) (ALJ Feb. 6, 2025) (notice not to review March 11, 2025)⁵ (finding that a detention charge was unjust and unreasonable only until the claimant had an opportunity to return the container at issue)).⁶ Here, there is nothing specific in the record regarding the \$1,270.50 demurrage charge related to container no. CBHU7035166 to show that it was unjust or unreasonable.

Complainant's expert opines that an analysis based on specific details (conducted on an "invoice-by-invoice" basis) is inappropriate. (Finding of Fact, ¶ 82). The expert argues that given the way the invoices are processed, it is difficult to reconstruct specific details. Instead, the expert argues that the unreasonableness of the charges can be proved by means of inferences based on circumstantial evidence. He gives the example of a police officer who can know a driver is speeding based on the amount of time the driver takes to go from one point on the road to another, even if the police officer never actually sees the driver. (*Id.*). I appreciate this point, but I am not persuaded by it. Before inferences can be drawn, there must be sufficient circumstantial evidence to permit the inferences to be drawn. (*OJ Commerce I*, 2023 WL 3969857, at *20). Here, general facts, such as congestion at the ports, or substantially increased profits by Respondent, may be analogous to knowing the two points on the road in the expert's example. But, without specific facts, such as knowing that Complainant was unable to pick up a

⁵ Decision available at [https://www2.fmc.gov/readingroom/docs/2010\(F\)/\(29\)%202010\(F\)%20Initial%20Decision.pdf/](https://www2.fmc.gov/readingroom/docs/2010(F)/(29)%202010(F)%20Initial%20Decision.pdf/) (last visited April 25, 2025).

⁶ In its Amended Complaint, Complainant asserts in a footnote that it was futile to pursue waiver or mitigation of the charges at issue through Respondent's dispute resolution procedure because "Respondent requires screenshots showing lack of availability for such disputes." (Amended Complaint, at 7, n.1). Screenshots showing a lack of available appointments is precisely the type of evidence that was used in *Hapag-Lloyd A.G.*, and *Simple Forwarding*.

particular container through no fault of its own, it is the equivalent of not knowing how long the driver in the expert's example took to travel between the points on the road.

Complainant advances other arguments for why the charges here should be considered unjust and unreasonable, but I find none to be persuasive. For example, Complainant also argues that Respondent's dispute resolution policy is unreasonable, and that it seldom adjusts D&D charges. (Opening Brief, at 22-23). The Interpretive Rule provides that in determining whether a D&D charge is just and reasonable, one factor to consider is the: "existence, accessibility, content, and clarity of . . . dispute resolution policies and practices . . ." (46 C.F.R. § 545.5(d)). Assuming, without deciding, that Respondent rarely adjusts D&D charges in the event of a dispute, it remains the case that Complainant does not carry its burden of demonstrating that any particular charge was unjust and unreasonable. In other words, assuming, without deciding, that Complainant's dispute resolution process rarely leads to adjustments, there is simply not enough specific evidence to allow me to find that Complainant carried its burden of proving that the \$4,682 in yard storage fees related to container no. TGBU5129589 was unjust or unreasonable. (CX1223). Indeed, all of Complainant's other arguments for how Respondent was unreasonable – e.g., charging exorbitant fees – are ultimately premised on the demurrage, detention, per diem and yard storage fees being unjust and unreasonable. And Complainant does not present any specific evidence to show the unreasonableness of the fees.

Complainant also points to two decisions to argue that it does not need to show causation on a container-by-container basis, *MCS Indus., Inc. v. COSCO Shipping Lines Co. Ltd.*, Dkt. No. 21-05 (FMC July 16, 2024), and *OJ Commerce I*, Dkt. No. 21-11, 2023 WL 3969857 (ALJ June 7, 2023), *aff'd in part OJ Commerce II*, Dkt No. 21-11, 2024 WL 4034610 (FMC Aug. 27, 2024). I find these to be distinguishable and unpersuasive.

In *MSC Industries*, the complainant obtained a default judgment against the respondent carrier for violations of §§ 41102(c) and 41104(a) due to the respondent's repeated discovery violations. (*MSC Indus.*, Dkt. No. 21-05, 2024 WL 3514613, at *1). In relevant part, the complainant sought reparations for the difference between the service contract rate and the amount it actually paid to ship containers that respondent failed to carry under the service contract. (*Id.*, at *15). The Commission affirmed the ALJ's decision that the complainant proved its damages adequately by introduction of a declaration where the declarant stated that the complainant intended and attempted to use the full cargo space under service contracts, but that it had to seek substitute transportation due to the respondent's breach. (*Id.*, at *18). The complainant also introduced the service contracts, a table of shipments, and the freight invoices. (*Id.*). The respondent did not contest the accuracy of complainant's information, but instead argued that complainant needed to match each container that respondent refused to ship with specific replacement transportation. (*Id.*, at *19). The Commission affirmed the ALJ's decision rejecting this argument, calling it "unreasonable to expect[.]" and an "extremely demanding standard of proof[.]" which was "impractical given the complex and fluid nature" of the transportation arrangements at issue. (*Id.*). The Commission also noted that the causal link between the respondent's conduct and complainant's damages were deemed admitted by the default. (*Id.*, at *19).

This case is distinguishable. *MSC Industries*, which is on appeal before the U.S. Court of Appeals for the D.C. Circuit,⁷ did not involve demurrage or detention charges. The Commission noted that damages were proved to a reasonable degree of certainty by a combination of a declaration, contracts, invoices and a spreadsheet. (*MSC Indus.*, 2024 WL 3514613, at *18). In addition to calling unreasonable the respondent’s demand that the complainant specifically match refused shipments to replacement shipments, the commission noted that causation was established by default. (*Id.*). That is different from the present case, where the Interpretive Rule requires an inquiry into whether the charge incentivized freight fluidity. Moreover, Complainant essentially tries to prove its case by means of two spreadsheets that purport to represent that each of several hundred charges were for unreasonable detention and demurrage, with little supporting evidence other than circumstantial evidence that Respondent charged high rates and contributed to congestion in 2021 and 2022, and some exemplar emails, none of which pertain to any specific containers at issue. Moreover, unlike *MCS Industries*, it is not unreasonable to expect that Complainant can come forth with evidence that return locations were full and not accepting appointments on particular days – such evidence was presented in *Hapag-Lloyd A.G.*

In *OJ Commerce*, the complainant successfully brought claims under §§ 41104(a)(3) (retaliation) and 41104(a)(10) (refusal to deal). (*OJ Commerce II*, Dkt. No. 21-11, 2024 WL 4034610, at *7 (FMC Aug. 27, 2024)). There, the parties had a service contract where respondent promised to carry 200 forty-foot containers for complainant for the 2020-21 contract year. (*Id.*, at *1-4). While the contract was still in effect, and the parties were negotiating its renewal, a dispute arose, and the complainant threatened suit against the respondent. (*Id.*). Shortly after the threat, the respondent refused to ship 15 of the promised 200 containers under 2020-21 contract, and halted negotiations for a renewal only a few weeks before the 2020-21 contract ended. (*Id.*). The Commission affirmed the ALJ’s decision finding that the respondent wrongfully retaliated and refused to deal with complainant by failing to fulfill the rest of 2020-21 contract, and by halting negotiations for a renewal. (*Id.*, at *8-18). Regarding reparations, the complainant submitted a detailed spreadsheet that was supported by historical data. (*Id.*, at *21). The spreadsheet showed, among other things, order information, customer identity, and prices, as well as container-related information. (*Id.*). The Commission stated the complainant did not “need to provide absolute precision, it merely needs evidence sufficient to reasonably infer the actual loss.” (*Id.*). In addition, the Commission pointed out that the respondent did not present evidence of any errors with the spreadsheet, even though the respondent would have had information about the containers. (*Id.*, at *21-22).

OJ Commerce is also distinguishable. *OJ Commerce* did not involve detention or demurrage. In fact, the respondent refunded demurrage, resolving that issue. (*OJ Commerce I*, Dkt. No. 21-11, 2023 WL 3969857, at *1 (ALJ, Jun. 7, 2023)). Liability was established in *OJ Commerce* by several “smoking gun” emails and testimony. (*OJ Commerce I*, 2023 WL 3969857, at *21). In fact, the respondent was ultimately found liable for double reparations due to knowing willful conduct. (*OJ Commerce II*, 2024 WL 4034610, at *24). To prove reparations, the complainant used a spreadsheet and historical data to prove lost profits, which the Commission found to be sufficient. (*Id.* at 21). Again, that is different from this case, where the record does not contain any invoices that would lend credence to the numbers on VCC000005 or

⁷ *MSC Mediterranean Shipping Co., S.A. v. FMC*, Dkt. No. 24-1262 (D.C. Cir.).

the Claims Spreadsheet, nor does any witness attest to the authenticity of the numbers on the spreadsheets. (Findings of Fact, ¶¶ 39-41).

For these reasons, I find that all of Complainant's claims must be **DENIED** because the Complainant fails to carry its burden of proof regarding whether the Respondent's practices were unjust or unreasonable. I do not reach the fifth element (proximate cause).

D. Alleged Violation of § 41104(a)(10)

Complainant alleges that the Respondent violated § 41104(a)(10). That statute provides: "A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not . . . unreasonably refuse to deal or negotiate[.]"⁸ "To establish a violation of section 41104(a)(10), the Complainant must establish that (a) Respondents are common carriers, (b) Respondents refused to deal or negotiate, and (c) such refusal was unreasonable." (*OJ Commerce I*, 2023 WL 3969857, at *22). I address each element in turn.

1. Common Carrier

The first element is whether the Respondent was a common carrier. Because Respondent admits it was a common carrier (Finding of Fact, ¶ 4), and because it transported containers overseas to ports in the U.S. (Findings of Fact, ¶¶ 6, 13), this element is satisfied.

2. Refusal to deal or negotiate

The second element is the refusal to deal or negotiate. Complainant argues that Respondent refused to deal or negotiation because it imposed charges automatically, held cargo hostage regardless of whether the fees were disputed, and put the burden on Complainant to challenge unjust and unreasonable fees. (Opening Brief, at 20-22; Reply, at 30-31).

For there to be a refusal to deal or negotiate, there must be: "an affirmative act by a party to deal or engage in negotiations with the common carrier." (*OJ Commerce I*, 2023 WL 3969857, at *29 (quoting *Definition of Unreasonable Refusal To Deal or Negotiate With Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier* ("Definition NPRM"), 87 FED. REG. 57674, 57677)). Complainant does not carry its burden of demonstrating that there was any attempt by RIM Logistics or Complainant to deal or negotiate with Respondent regarding the charges at issue. The record contains no specific request for an accommodation or extension of free time related to any container or bill of lading at issue. Thus, due to the lack of evidence of any request, Complainant does not carry its burden of proof.

⁸ The statute was amended by OSRA 22, to add the following after "negotiate": " , including with respect to vessel space accommodations provided by an ocean common carrier[.]" (See OSRA 22 (Pub. L. 117-146), Section 7(a)(1)(D)). Although OSRA 22 was effective June 16, 2022, the amendment does not appear to be relevant to this proceeding.

Accordingly, I find that Complainant has not satisfied the second element of a claim under § 41104(a)(10) – that there was a refusal to deal or negotiate. Complainant’s claims under § 41104(a)(10) are all **DENIED**. I do not reach the third element.

IV. PROCEDURAL MOTIONS

Below I address the remaining outstanding procedural motions.

A. The Second CMTC and Complainant’s Request for Adverse Inferences

On October 12, 2024, Complainant filed the Second CMTC seeking the production of documents, as well as a 30(b)(6)⁹ witness who is adequately prepared to testify regarding select topics. As noted above, I previously granted the Second CMTC in part in the January 24 Order, and, in the February 10 Order, I ordered Respondent to extend electronic document searches through November 28, 2022.

By means of the January 24 Order and the February 10 Order, I granted the Second CMTC in part because the documents Complainant sought were “potentially highly relevant to the ultimate resolution of this matter.” (January 24 Order, at 5). Indeed, each case involving the reasonableness of detention and demurrage charges is decided on its own facts. (*Interpretive Rule*, 85 FED. REG. 29638, 29642). Other authority is in accord. (*Hapag-Lloyd A.G.*, Dkt. No. 21-09, 2022 WL 1239377, at *27; *TZ SSE Buyer*, Dkt. No. 24-10, 2025 WL 1083815, at *19-23). In RFP6, and SRFP5, Complainant sought production of communications between its NVOCCs on the one hand, and Respondent on the other hand. In the July 31 Order, Judge Crovella ordered Respondent to produce documents responsive to RFP6 and SRFP5, which are potentially highly relevant to the outcome of this case. The January 24 Order, as well as the February 10 Order, were intended to ensure that Respondent complied with RFP6 and SRFP5; the January 24 Order and the February 10 Order required Respondent to make representations under oath regarding searches it performed, and to perform additional searches and productions. Such searches and productions could have led to the discovery of relevant documents. For example, there could have been emails from the NVOCC to the Respondent specifically requesting additional free time for a container in demurrage due to the inability to retrieve it from port, or evidence showing that no appointments were available. (*See, e.g.*, Findings of Fact, ¶ 54). Therefore, it was necessary to order the additional productions.

The remaining discovery requests in the Second CMTC, however, essentially seek additional circumstantial evidence of Respondent’s unreasonable conduct. The Second CMTC seeks: contracts that include “any terms related to accessorial charges or free days” for some of Respondent’s other customers, “all written policies and procedures related to” the setting of Respondent’s rates; all “correspondence and written policies related to the procedures” for dispute resolution; and documents from two additional custodians. (CX850; *see also* January 24 Order, at 3). The Second CMTC also sought a knowledgeable 30(b)(6) witness regarding Respondent’s “revenues and profits” from D&D charges, as well as Respondent’s policies and

⁹ Rule 30(b)(6) of the Federal Rules of Civil Procedure allow for a party to depose an organization. The comparable Commission Rule is found at 46 C.F.R. § 502.143(b)(6). I refer to the deposition using “30(b)(6)” because Complainant used that term in the deposition notice.

procedures for “allocating free days,” “redirecting traffic to manage port congestion,” and “establishing tariff per diems at ports[.]” (CX861). But, in light of Commission authority requiring evidence of a fact-specific nature, the additional discovery requests in the Second CMTC would not help Complainant, and are **DENIED** as moot.

Related to the Complainant’s Second CMTC, Complainant also argues in its Opening Brief that adverse inferences should be drawn against Respondent. This argument is premised on Respondent’s failure to perform proper document searches in response to RFP6 and SRFP5, as well as Respondent’s failure to perform the searches requested Second CMTC and provide a knowledgeable 30(b)(6) witness on certain topics. But, as explained, much of the Second CMTC is moot. And, in light of Respondent’s representations under oath, as well as its additional searches and productions, I find that Respondent satisfied its obligations under RFP6 and SRFP5. Therefore, I find that this is not an appropriate case for adverse inferences. Complainant’s request for adverse inferences is **DENIED**.¹⁰

B. Motion to Strike and for Leave to File a Surreply

As noted, Respondent filed its Motion to Strike and for Leave to File a Surreply (the “Surreply Motion”) on December 30, 2024, along with a Proposed Surreply. The Surreply Motion is **DENIED**.

In short, Respondent argues that the Complainant’s Reply Brief improperly includes an appendix and new evidence, which was not permitted in the scheduling order or the Commission Rules. (Surreply Motion, at 1-4). The Reply Brief also improperly introduces new arguments, which must not be considered. (*Id.*, at 4-6). To the extent the new materials are not stricken, Respondent must be given the opportunity to file a surreply. (*Id.*, at 6-7). In any event, Respondent argues that it should be allowed to file a surreply due to the misleading statements in Complainant’s Reply. (*Id.* at 8-10).

Complainant responded to the Surreply Motion by arguing that the materials and arguments in its Reply Brief were in response to arguments raised in the Response Brief. (Surreply Motion Response, at 1-7). Complainant argues that the Respondent should not be allowed to file a surreply, and, if Respondent is allowed to file a surreply, Complainant would want a chance to respond to the surreply. (*Id.*, at 7-10).

To the extent Respondent requests that portions of the Reply Brief and supporting materials be stricken, Respondent’s request is **DENIED**. In the Response Brief, Respondent argues, among other things, that Complainant lacks standing (Response Brief, at 61-65), that the Second CMTC and related request for adverse inferences are meritless (*id.*, at 12-16), and that there are various deficiencies with Complainant’s expert and the expert’s opinion (*id.*, at 24-52, 67-68). The new materials introduced by Complainant relate to Complainant’s standing, the Second CMTC, and the opinion of Complainant’s expert opinion. (See Appendix to

¹⁰ Respondent argues in its Response that Complainant’s expert witness’s testimony and expert report should not be considered. (Response, at 29-47). In light of the decision on the merits, I do not address this argument.

Complainant's Reply Brief). Therefore, the new materials in the Reply Brief relate to the arguments advanced in the Response Brief.

As for Respondent's motion for leave to file a Surreply Brief, Respondent's motion for leave is **DENIED**. The Commission's Rules provide that a party filing a dispositive motion may file a reply. (46 C.F.R. § 503.70(c)). The rules also provide that: "The non-moving party may not file any further reply unless requested by the Commission or presiding officer, or upon a showing of extraordinary circumstances." (46 C.F.R. § 503.70(d)). Respondent does not cite or discuss 46 C.F.R. § 503.70(d), nor otherwise explain why or how extraordinary circumstances exist. The fact that Complainant included new materials to its Reply Brief to respond to arguments raised in the Response Brief does not give rise to extraordinary circumstances. Assuming, without deciding, that Complainant made false or misleading statements in its Reply Brief, that also does not give rise to extraordinary circumstances. Indeed, any factual assertion in a brief should be supported by evidence, which will either support or belie the representations made in a brief.

C. Motion to Consider

After I issued the January 24 Order, Respondent filed its Motion to Consider Respondent's Discovery Concerns Concurrently with Those of Complainant on January 30, 2025. In it, Respondent argues that it "is extremely concerned" that Complainant's discovery concerns were considered outside the context of the initial decision, "while not affording the same attention to Respondent's discovery concerns" (Motion to Consider, at 1).

The Motion to Consider is **DENIED**. As of January 2025, Respondent did not have an outstanding motion to compel, whereas the Complainant's Second CMTC was outstanding, which is alone sufficient reason to deny the Motion to Consider.

D. Motions for Confidential Treatment

The parties filed numerous motions for confidential treatment that I **GRANT IN PART** and **DENY IN PART**. In particular:

- On November 26, 2024, Complainant filed its Motion for Confidential Treatment related to its Opening Brief.
- On December 8, 2024, Respondent filed its Corrected Motion for Confidential Treatment related to its Response.
- On December 20, 2024, Complainant filed its Motion for Confidential Treatment related to its Reply.
- On February 7, 2025, Respondent filed its Motion for Confidential Treatment related to its response to the January 24 Order.
- On March 26, 2025, Respondent filed its Motion for Confidential Treatment of Exhibits related to its response to the February 10 Order.

- On April 9, 2025, Complainant filed its Motion for Confidential Treatment related to its Supplemental Brief.

Complainant also filed its Second CMTC with confidential markings, but never filed a motion for confidential treatment.

On January 17, 2024, Judge Crovella issued an Initial Order that provided detailed information about filing confidential material. The Initial Order provided that if confidential information is filed, a “motion justifying confidential treatment” that showed “good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information” is required. (Initial Order, p. 5 (citing 46 C.F.R. § 502.141(j)(1))). The Initial Order also indicated that the confidential information should be clearly and conspicuously marked in the confidential version of the filings and blacked out in the public version. (Initial Order, p. 5). Commission Rule 5 states that: “Confidential information in exhibits should be marked as specified above. If marking within the text is not feasible, individual pages may be replaced in the public version with a page indicating that confidential material is excluded. Entire exhibits should not be excluded, only those pages containing confidential material.” (46 C.F.R. § 502.5(a)(2)(iii) (emphasis added)).

The parties submitted over 1,700 combined pages of exhibits in their appendices to the Opening Brief, Response, and Reply, as well as other filings. The parties largely complied with the Initial Order, as well as Commission Rule 5, generally limiting redactions appropriately. In addition, I am satisfied that most of the information marked confidential by the parties is, in fact, sensitive commercial information. For example, testimony regarding contracts with non-parties was designated as confidential. (*See, e.g.*, Takase Dep., CX733:1-CX749:5). Emails between RIM Logistics and Respondent, apparently related to other customers, were designated confidential. (*See, e.g.*, CX845-CX848). In addition, information related to Respondent’s business operations were generally designated confidential. (*See, e.g.*, Takase Dep., CX783:14-CX784:1). Therefore, I will **GRANT IN PART** the parties’ motions for confidential treatment identified above.

Respondent requests confidential treatment of information already disclosed. In particular, Respondent requests that the email chain at CX1207-CX1209 be kept confidential. Complainant, however, partially quoted this email chain at CPFF ¶ 49, and did not request confidentiality. Similarly, Respondent requests that the email chain at CX1211-CX1213 be kept confidential, but again, Complainant discussed the relevant portion of this email at CPFF ¶ 61. Therefore, Respondent’s Motion for Confidential Treatment is **DENIED IN PART** to the extent the material from CX1207-CX1209 and CX1211-CX1213 was previously disclosed.

Finally, as discussed in the February 10 Order, n. 3, Respondent designated part of the Declaration of Ashley Harper, which is attached to Respondent’s Response to January 24 Order (the “Harper Declaration”), as confidential. Specifically, Respondent designated ¶ 7 of the Harper Declaration, which discusses the email address perdiem@cosco-usa.com, as confidential. The fact that the email address exists is not confidential – in fact, Respondent identified the email address in its Second CMTC Response. (Second CMTC Response, at 7). The fact that Respondent’s employee searched that email address in response to the January 24 Order, which is discussed in the last sentence of ¶ 7 of the Ashley Declaration, is also not confidential. The

remaining information in ¶ 7, however, discusses how the account is used for Respondent's business, and may remain confidential. Therefore, Respondent's February 7 Motion for Confidential Treatment is **DENIED IN PART** as to the last sentence of ¶ 7 of the Ashley Declaration, which describes the search performed pursuant to the January 24 Order.

V. ORDER

Upon consideration of Complainant's Opening Brief, Respondent's Response, Complainant's Reply, the related filings of each, including appendices, as well as proposed statement of facts and responses, and the other filings in the record, it is hereby:

ORDERED that Complainant's claims under §§ 41102(c) and 41104(a)(10) are **DENIED**. It is

FURTHER ORDERED that the Second CMTC is **DENIED** to the extent it was not previously granted in the January 24 Order or the February 10 Order. It is

FURTHER ORDERED that the Complainant's request for adverse inferences is **DENIED**. It is

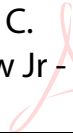
FURTHER ORDERED that Respondent's Motion for Leave to File a Sur-Reply is **DENIED**. It is

FURTHER ORDERED that the Motion to Consider is **DENIED**.

FURTHER ORDERED that the six Motions for Confidential Treatment are **GRANTED IN PART AND DENIED IN PART**. Confidentiality is granted as requested with the exception of the material from CX1207-CX1209 and CX 1211-CX1213 that was previously disclosed, as well as to the last sentence of ¶ 7 of the Ashley Declaration. It is

FURTHER ORDERED that this proceeding be **DISCONTINUED**.

Richard C.
Ambrow Jr -
S



Digitally signed by
Richard C. Ambrow Jr -S
Date: 2025.04.28
08:15:03 -07'00'

Richard Ambrow
Administrative Law Judge